

Aon's Annual Salary Increase and Turnover Survey 2024-25 India says salaries in India are set to rise by 9.2% in 2025, a slight decline from 9.3% in 2024, amid global uncertainty and softening growth. With artificial intelligence (AI) taking over some jobs, experts caution that increments may remain muted for several sectors even in 2026. This comes at a time when the government is looking to spark a virtuous cycle of increased consumer spending with cuts in income tax rates in Union Budget 2025-26.

Neeti Sharma, CEO of staffing solutions firm Teamlease Digital, says projections of salary increments for this year are not very promising but vary from sector to sector. "Everyone's talking about a 7-9% growth rate," she tells *BT*. Since IT services firms have faced some headwinds, increments in the industry will not be very large. However, for certain skill sets such as AI, they could be 12-16%. The BFSI (banking, financial services and insurance) sector may see single-digit increments.



"Increasing the wage at the entry level would mean fewer jobs. We must take a calculated stand on whether we want higher wages or more formal sector jobs. In that sense, we have a Catch 22 situation"

LOHIT BHATIA
PRESIDENT WORKFORCE
MANAGEMENT, QUESS CORP

On the other hand, as global capability centres (GCCs) pay more, hikes for their workers may range from 10-14%. The manufacturing sector is expected to hike salaries by 8.8-10.2%, driven by growth in key industries such as automotive, engineering, and electronics, says Sharma.

THE WAGE GROWTH CONUNDRUM

What could be a source of worry for formal sector workers is the Aon survey's indication that 2025 may not be

CONSUMPTION AND THE COMMON MAN

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IN RECENT YEARS**

→
**THIS HAS LED TO RISING
PERSONAL LOANS, MUTED
CONSUMPTION,
AND FALLING HOUSEHOLD
SAVINGS**

→
**EASING INFLATION,
INCOME TAX CUTS IN THE
BUDGET AND THE PAY
COMMISSION MAY HELP
EMPLOYEES**



just a blip. This is backed by several sets of macro data and company filings.

Of course, not everybody is convinced that earnings have been hit in recent years. Union Finance Minister Nirmala Sitharaman recently said that compensation of employees at current prices grew at a compound average growth rate (CAGR) of 11.1% from 2014-15 to 2022-23 and that wages have increased post-Covid as well. But she also noted that the factors of production are being reset. "Industry is also looking at using robotics and Web3-driven production. Therefore, there